A matter of trust

Physical money—coins and banknotes—isn’t actually worth very much in itself. It is just bits of paper and cheap metal, but it has a value because we can exchange it for the things we want to buy (see Keeping up with **CURRENCY**). When we purchase things with money, the people who take our money accept it because they know they can exchange it for other things, too. This trade is a matter of trust. We only accept this paper and metal money as payment because we believe it can be used to pay for other things. What we are doing when we pay for something with this kind of money is making a promise that the other person can buy things with it, too. In fact, the first banknotes were exactly that—signed notes promising that a bank would exchange them for something with real value, such as gold. The idea of a “promissory note” also developed into the system of checks. Rather than keeping all your money as cash, you can put it into a bank, in a bank account, and either withdraw it in small amounts or write a check when you need to pay for something. A check is simply a promise that the bank will pay the other person with money from your account. In practice, though, what happens is that no physical money changes hands. The amount of money written on the check is deducted from your bank account and credited to the account of the person you are paying. The bank doesn’t actually move any gold or silver, or even any cash, from one place to another, but simply changes the numbers in its records, either on paper or, more likely today, in computer memory.

Going electronic

With advances in technology, even the piece of paper a check is written on has become unnecessary. Debit and credit cards with computer chips have almost completely replaced those paper transactions. When a payment is made, the amount is automatically deducted from one account and credited to another. Instead of a signature, we now often use a PIN (personal identification number) or password. We can also use these to make purchases online and electronically transfer money from one account to another.